

Strategy Settings Optimization — Executive Summary

Provider: openai | Model: gpt-4o-mini | Prompt tokens: 2221 | Output tokens: 898 | Total: 3119

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- ****Ichimoku Parameter Adjustments:****
 - ****Tenkan Period:**** Reduce from 9 to 7 for improved responsiveness to price changes.
 - ****Kijun Period:**** Shorten from 26 to 20 to enhance entry and exit timing.
 - ****Senkou B Period:**** Decrease from 52 to 48 to align the cloud with recent price action.
 - ****Chikou Offset:**** Lower from 26 to 20 for earlier signal generation.
 - ****Senkou Offset:**** Reduce from 26 to 20 to improve predictive power.
- ****Signal Logic Enhancements:****
 - Maintain current AND logic for buy/sell signals to ensure strong confirmation.
 - Add condition: "ChikouAbovePrice" to filter trades more effectively.
- ****Risk Management Improvements:****
 - Tighten stop loss from 3% to 2% to minimize drawdowns during volatility.
 - Introduce a take profit target of 5% to secure gains.
 - Transition from fixed to volatility-based position sizing for optimized exposure.
- ****Proposed Experiments:****
 - Conduct a walk-forward grid to optimize Ichimoku parameters.
 - Implement a trend filter A/B test to evaluate the impact of additional conditions on performance.

Recommended setting changes:

- `tenkan_period`: current=9, suggested=7. Reducing the Tenkan period may increase responsiveness to price changes, potentially capturing more short-term trends.
- `kijun_period`: current=26, suggested=20. A shorter Kijun period can enhance the strategy's ability to react to market movements, improving entry and exit timing.
- `senkou_b_period`: current=52, suggested=48. Slightly decreasing the Senkou B period can help align the cloud more closely with recent price action, enhancing support/resistance levels.
- `chikou_offset`: current=26, suggested=20. Reducing the Chikou offset may provide earlier signals by aligning it closer to current price action.
- `senkou_offset`: current=26, suggested=20. A shorter Senkou offset can improve the cloud's predictive power by reflecting more recent price trends.
- **Signal logic:**
 - `buy_logic`: AND -> AND (Maintaining the AND logic ensures strict confirmation of bullish conditions, preserving trade quality.)
 - `sell_logic`: AND -> AND (Keeping the AND logic for sell signals ensures that only strong bearish conditions trigger exits.)
 - `add_conditions`: ['ChikouAbovePrice']
- **Risk management:**
 - `stop_loss_pct`: 3.0 -> 2.0 (Tightening the stop loss can reduce drawdowns and protect capital during volatile market conditions.)
 - `take_profit_pct`: None -> 5.0 (Implementing a take profit target can help lock in gains and improve overall risk-reward ratios.)
 - `position_sizing`: fixed -> volatility (Switching to a volatility-based position sizing method can optimize exposure based on market conditions.)

Experiments to run:

- Walk-forward grid: Optimize Ichimoku parameters across different market conditions.
- Trend filter A/B: Test the impact of additional conditions on trade performance.